

Investors who didn't catch on to this new situation right away must have suffered terrible financial and psychological punishment. Their so-called prudent investments in Public Service of Indiana or Gulf States Utilities or Public Service of New Hampshire turned out to be as risky as if they'd taken fliers in unknown start-up biogenetic firms—or actually riskier since they weren't aware of the dangers.

Companies are dynamic, and prospects change. There simply isn't a stock you can own that you can afford to ignore.

## IT'S TAKING TOO LONG FOR ANYTHING TO EVER HAPPEN

Here's something else that's certain to occur: If you give up on a stock because you're tired of waiting for something wonderful to happen, then something wonderful will begin to happen the day after you get rid of it. I call this the postdivestiture flourish.

Merck tested everybody's patience (see chart). This stock went nowhere from 1972 to 1981, even though earnings grew steadily at an average of 14 percent a year. Then what happened? It shot up fourfold in the next five years. Who knows how many unhappy investors got out of Merck because they were tired of waiting, or because they yearned for more "action." If they had kept up to date on the story, they wouldn't have sold.

The stock of Angelica Corporation, manufacturers of career apparel, hardly budged a nickel from 1974 to 1979. American Greetings was dead for eight years; GAF Corporation for eleven; Brunswick for the entire 1970s; SmithKline (before Tagamet) for half the 1960s and half the 1970s; Harcourt Brace through Nixon, Carter, and the first Reagan administration; and Lukens didn't move for fourteen years.

I stuck with Merck because I'm accustomed to hanging around with a stock when the price is going nowhere. Most of the money I make is in the third or fourth year that I've owned something—only with Merck it took a little longer. If all's right with the company, and whatever attracted me in the first place hasn't changed, then I'm confident that sooner or later my patience will be rewarded.

This going nowhere for several years, which I call the "EKG of a rock," is actually a favorable omen. Whenever I see the EKG of a rock on the chart of a stock to which I'm already attracted, I take it as a strong hint that the next major move may be up.

It takes remarkable patience to hold on to a stock in a company that excites you, but which everybody else seems to ignore. You begin to think everybody else is right and you are wrong. But where the fundamentals are promising,